

1.2 EXPENDITURE APPROACH

MARKING SCHEME

1990/CE/II/33 A	1996/CE/II/30 C	2004/CE/II/29 C (36%)	2009/CE/II/28 C (53%)	2013/DSE/I/22 A (60%)
1993/CE/II/39 C	1998/CE/II/30 C	2005/CE/II/27 B (51%)	2010/CE/II/26 B (63%)	2016/DSE/I/23 C (54%)
1993/CE/II/51 A	2001/CE/II/28 C	2006/CE/II/28 C (29%)	2010/CE/II/27 B (63%)	2022/DSE/I/24 A
1996/CE/II/28 D	2003/CE/II/26 C (44%)	2008/CE/II/26 B (71%)	2012/DSE/I/22 B (61%)	2023/DSE/I/25 C
2024/DSE/II/24 B				

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/3(a)(iii)
 $C + I + G + (X - M)$ (2)
 $= \$ (255 + 109 + 10 + 30 + 218 + 275 - 501 + 86 - 56) \text{ bn.} = \426 bn. (2)
 Expenditure approach (1)

1993/CE/I/4(a)(i)
 Expenditure approach (1)
 $62\% + A\% + 36\% + 88\% - 93\% = 100\%$ (2)
 $\therefore A = 7$ (1)

2002/CE/I/11(a)(i)
 $\$(400 + 180 + 150 + 250 + 500 - 650) \text{ m}$ (2)
 $= \$830 \text{ m}$ (1)

2018/DSE/II/12(c)
 Export of services / net exports (1)

2025/DSE/II/9(Cross Topic)

(a) It is a regressive tax, because (1)
 the same amount of tax needs to be paid when staying in a hotel room of the same (1)
 price regardless of income.
 Therefore, the average tax rate decreases as income increases. (1)

(b) The proposed HAT is an indirect tax. As the tax rate is adjusted from 0% to 3%, the (2)
 indirect tax revenue from the HAT will increase (from zero to some positive
 number).

The re-imposition of the HAT may marginally reduce the profits of the hotels and (2)
 guesthouses, reducing the direct tax revenue from profits tax.

(c) (Complex) division of labour

(1)

Reasons for increasing labour productivity:

- practice makes perfect
- assigning the most suitable person for each task
- saving time in training
- saving time in job rotation
- mechanisation is stimulated

[Mark the FIRST THREE points only.]

} 1@
max: 3

(d) Advantage:

- easier to maintain a stable team of staff as income is more stable
- lower cost of measuring outputs

[Mark the FIRST point only.]

} 1@
max: 1

Disadvantage:

- higher cost of monitoring against shirking
- lower labour productivity due to lower working incentive

[Mark the FIRST point only.]

} 1@
max: 1

(e) No. Some people may have a lower time cost during public holidays than on other days. If the saving in time cost is greater than the additional money cost (due to a higher room rate), the opportunity cost of staying in a hotel in Hong Kong would be lower.

(3)